

# Theoretical Foundations of Buffer Stock Saving

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# Drawbacks of Numerical Solutions

## A Black Box

- Can Construct Solution to Model Without Really Understanding It
- Hard Even To Be Sure Your Numerical Solution Is *Right*
- Little Intuition for How Results Might Change With
  - Calibration
  - Structure
  - **P**
- *Very Hard To Teach!*

## I Am A *Big* Fan Of Numerical Methods

- Have Done A Good Deal Of Work With Them Myself
- But As A Result, Have Felt All These Drawbacks Keenly

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- Problem Defines A Contraction Mapping
  - $\Rightarrow \exists$  A Unique Consumption Function  $c(m)$
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